

# TOURISM AS THE NEW OIL TOURISM AS THE NEW OIL: KEY TO ECONOMIC DIVERSIFICATION

Gaurav Buddawar, Manasvi Singh, Sahib Preet Singh

## ABSTRACT

Economic transformation is a complex process that requires strategic investments in key sectors, and tourism has proven to be a fundamental driver of economic growth. This research paper explores the significant role of tourism in the reshaping of economies, using Saudi Arabia as a case study. The study highlights how increased tourism expenditures, strong marketing strategies, and sponsorship of global sporting events contribute to economic diversification and growth. By examining historical GDP trends, tourism revenue, and government-led initiatives, this research underscores the importance of sustained investment in tourism infrastructure, international branding, and cultural promotion. The findings demonstrate that economies seeking diversification must prioritize tourism as a cornerstone industry, leveraging its potential to create jobs, attract foreign investment, and drive sustainable economic expansion.

**Keywords:** Economic transformation, tourism growth, economic diversification, tourism expenditures, marketing strategies, sports sponsorship, foreign investment, cultural promotion, sustainable economic expansion

## I. INTRODUCTION

Economic diversification is a fundamental objective for nations seeking long-term stability and resilience. For decades, Saudi Arabia's economy has been heavily dependent on oil exports, making it vulnerable to fluctuations in global oil prices. Recognising the risks of an oil-reliant economy, the Saudi government introduced Vision 2030, a strategic initiative aimed at fostering economic growth through various non-oil sectors, with tourism identified as a key pillar.

Tourism has been widely acknowledged as a major contributor to economic transformation, influencing GDP growth, employment, and infrastructure development. Countries that invest in tourism experience increased revenue streams, improved international perception, and greater foreign direct investment. Saudi Arabia's approach to tourism development includes a combination of infrastructure expansion, sports event sponsorships, cultural heritage promotion, and aggressive marketing strategies to position the country as a leading global travel destination.

This research paper examines how increased tourism expenditures, government-backed initiatives, and strategic marketing campaigns have positively influenced Saudi Arabia's economy. Through data analysis and case studies, this paper highlights the correlation between tourism investments and GDP growth, showcasing how the Kingdom's tourism-driven

policies have enhanced economic performance, strengthened global positioning, and created employment opportunities.

## II. Background and Importance

Economic diversification is essential for nations striving for long-term stability and resilience. For decades, Saudi Arabia's economy has been heavily dependent on oil exports, leaving it vulnerable to fluctuations in global oil prices. To mitigate these risks, the Saudi government launched Vision 2030, a strategic initiative aimed at reducing reliance on oil by fostering growth in nonoil sectors, with tourism emerging as a central pillar of this transformation.

Tourism is widely recognized as a catalyst for economic development, driving GDP growth, employment opportunities, and expansion of infrastructure. Countries that prioritize tourism benefit from diversified revenue streams, improved international perception, and increased foreign direct investment (FDI). Saudi Arabia's tourism strategy is multifaceted, including large-scale infrastructure projects, global sports sponsorships, preservation of cultural heritage, and aggressive marketing campaigns to position itself as a leading global travel destination.

This research paper examines the role of tourism expenditures, government-led initiatives, and strategic marketing efforts in the reshaping of Saudi Arabia's economy. By analyzing data trends and case studies, the study highlights the strong correlation between tourism investments and GDP growth, demonstrating how tourism-driven policies have improved economic performance, enhanced global standing, and generated employment opportunities.

Government investments in tourism, through mega projects, high-profile sponsorships, and targeted promotional campaigns, have significantly accelerated economic diversification. Using quantitative analysis and predictive modeling, this article illustrates how the steady increase in tourism expenditures is directly correlated with the expansion of GDP, aligning with Saudi Arabia's long-term economic objectives under Vision 2030.

Beyond economic gains, Saudi Arabia's tourism-driven policies have strengthened its global influence, making it a more attractive destination for FDI while strengthening its presence in international cultural and economic discussions. This study ultimately argues that a well-structured tourism strategy is not just an economic driver, but also a powerful tool for diplomacy and global integration, supporting Saudi Arabia's broader vision for sustainable growth and diversification.

### III. Methodology

This research adopts a mixed-methods approach, combining quantitative data analysis with qualitative interpretation to examine the role of tourism in diversifying the Saudi Arabian economy. The methodology is structured around data collection, data analysis, and interpretive evaluation aligned with the Kingdom's Vision 2030 objectives.

#### *Data Collection*

##### *Secondary Data Sources*

The primary data sources for this research were obtained from official reports, international databases, and verified news articles. These include:

- World Bank, UNWTO, and WTTC datasets on tourism receipts, international arrivals, and economic indicators from 2000 to 2023.
- Sports sponsorship data showcasing Saudi investments in international football and sporting events.
- Vision 2030 official publications, outlining government projects like NEOM, The Red Sea Project, and Diriyah Gate

##### *Economic and Tourism Indicators*

*Specific focus was given to the following attributes:*

- International tourism receipts and spending
- Religious tourism statistics (Hajj and Umrah)
- Infrastructure and hospitality investments
- Employment generated by the tourism and hospitality sectors
- Sports sponsorships and their global viewership reach

#### *Quantitative Analysis*

Data was cleaned, organized, and analyzed using Microsoft Excel and RStudio to identify trends, correlations, and economic impacts. Key analysis techniques included:

- Time-series trend analysis for tourism spending and visitor growth
- Comparative analysis of pre- and post-Vision 2030 data
- Correlation analysis between tourism indicators and GDP growth

The sports sponsorship dataset was used to showcase Saudi Arabia's strategic soft power development and influence in global sports tourism, backed by numerical evidence of investments and ROI.

#### *Qualitative Interpretation*

In addition to numeric data, a qualitative review was conducted through:

- Policy documents and whitepapers outlining Vision 2030 tourism goals
- Academic journals on tourism's economic impact and diversification strategy
- Case studies on mega-events and infrastructure projects

This helped build a narrative on how tourism, both religious and recreational, has become a catalyst for economic diversification, creating new industries, employment opportunities, and international soft power.

#### *Limitations*

Although this study uses reliable secondary data, there are limitations:

- Limited access to real-time government spending data
- Lag in available 2024 data due to reporting cycles
- Cultural tourism impact still being evaluated in newer projects like AIUla

Despite these constraints, the triangulation of multiple data sources ensures validity and reliability.

### IV. Analysis of Tourism Expenditures and GDP Growth

Saudi Arabia has experienced significant fluctuations in its GDP, closely linked to tourism expenditure trends.

According to World Bank data, the country's GDP grew from 190 billion in 2002 to 874 billion in 2021, marking an increase of over 360%. During the same period, international tourism expenditures rose from 7.37 billion to over 25 billion, showcasing a parallel growth pattern.

To quantify the relationship, a regression analysis was conducted using data on Saudi Arabia's GDP and international tourism expenditures. The results indicate a moderate positive correlation (0.495) between tourism spending and GDP. This suggests that increased tourism expenditures contribute to economic expansion by driving consumer spending, job creation, and infrastructure development. Following significant government initiatives to boost tourism, the GDP saw a remarkable increase:

- 2010: GDP at 520 billion, with tourism expenditures of 25.1 billion.
- 2015: GDP at 666 billion, with tourism expenditures of 20.3 billion.
- 2019: GDP at 847 billion, with tourism expenditures of 16.4 billion.

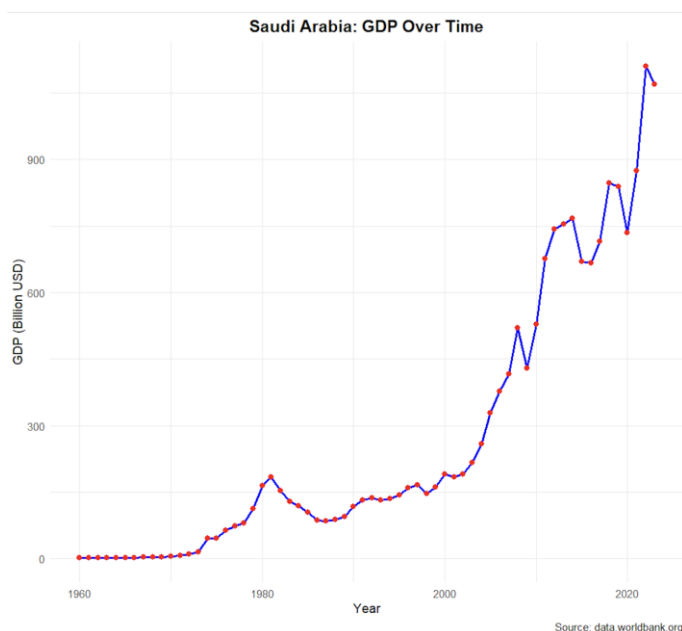
Despite some fluctuations, the general trend highlights that as Saudi Arabia enhanced tourism investments, particularly in religious tourism (Hajj and Umrah) and

financial returns but also tap into a global football audience exceeding 5 billion viewers. This massive viewership translates into greater brand exposure, tourism influx, and commercial opportunities.

Saudi-backed entities, including Aramco, Saudi Tourism Authority, and PIF (Public Investment Fund), have spent over \$6.3 billion in sports investments over the past few years. This includes the \$650 million sponsorship deal with the Saudi Pro League, making it one of the fastest-growing leagues worldwide. Additionally, Saudi's PIF owns clubs like Newcastle United, a \$415 million acquisition that instantly boosted Saudi Arabia's global presence in European football.

Football sponsorships directly contribute to sports tourism, attracting millions of international fans to Saudi-hosted events such as the Spanish Super Cup and Club World Cup 2023. The 2022 FIFA World Cup in Qatar, which saw over 1.5 million visitors, demonstrated how major football events drive tourism. Saudi Arabia aims to replicate this success with its 2034 FIFA World Cup bid, expected to inject over \$20 billion into the economy.

By securing high-profile sponsorships and hosting global events, Saudi Arabia is rapidly positioning itself as a sports tourism hub, reinforcing football's role as a key driver in economic diversification and sustainable tourism growth.



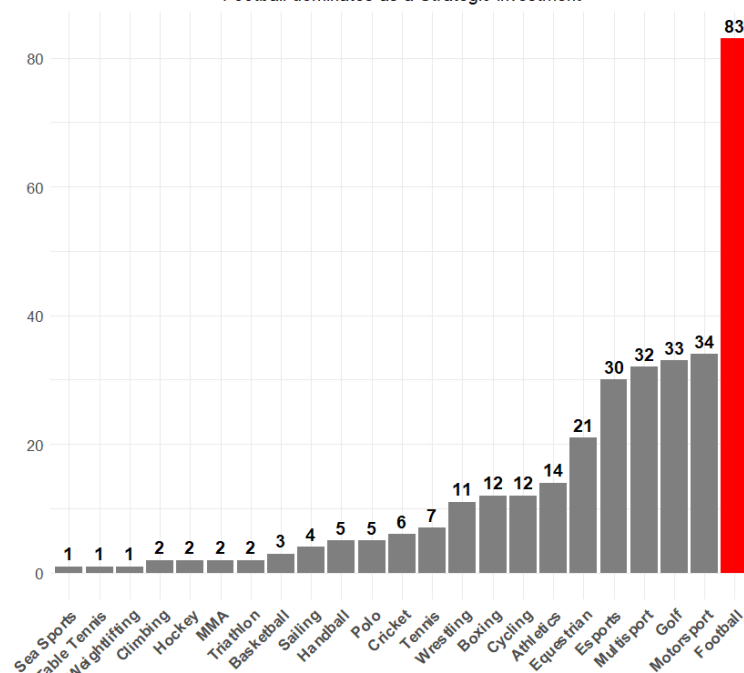
entertainment projects, economic growth followed suit

## V. Strategic Investment in Sponsorships: Analysis of Tourism Expenditures and GDP Growth

Saudi Arabia's strategic investment in sponsoring football clubs and other clubs plays a dual role in economic expansion and global influence. By investing in high-profile clubs and leagues, Saudi entities not only secure multi-billion-dollar

### Sports Sponsored by Saudi Arabia

Football dominates as a Strategic investment



## VI. Analysis of Tourism Expenditures and GDP Growth

Tourism is experiencing significant growth worldwide, especially in the post-pandemic era, creating an ideal opportunity for businesses in the industry to refine their marketing strategies. Smart marketing improvements are essential to attract a growing consumer base, deliver unique experiences, and effectively position destinations as top travel choices. Businesses in the tourism sector must adopt proactive marketing approaches to capitalize on increasing travel demand. One effective strategy is to personalize services based on visitors' interests and preferences, enhancing their overall experience.

Research suggests that tailored experiences lead to higher customer satisfaction and loyalty (Xu et al., 2017; WTO, 2017; Riegger et al., 2021). Additionally, tourism industry players can leverage digital marketing platforms to reach a global audience, showcasing the distinctive attractions, cultural experiences, and services that set their destinations apart.

Hospitality businesses, such as hotels and resorts, can implement strategic marketing campaigns to optimize resources and enhance guest experiences, particularly during peak travel seasons. Instead of relying solely on price reductions, these businesses can differentiate themselves by offering value-added services and exclusive experiences. Collaborations with local attractions, tour operators, and event organizers can lead to bundled travel packages that cater to a diverse range of tourists. Appeals to travelers seeking convenience and a seamless vacation experience, ultimately boosting a destination's attractiveness.

Effective marketing strategies should also focus on increasing the average duration of stay. This can be achieved by offering attractive package deals and discounts for extended visits, as well as ensuring exceptional customer service that encourages longer stays. Providing diverse activities and immersive experiences tailored to visitor preferences can enhance engagement, increase revenue, and improve overall satisfaction and brand loyalty. Ultimately, well-planned marketing strategies play a vital role in fostering sustainable tourism growth while driving economic benefits for the broader country.

## VII. Time Series Forecasting for Future Correlation

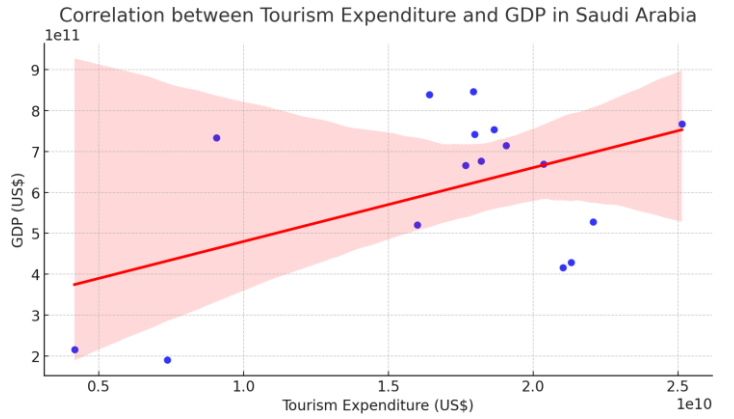
To predict future correlation growth, we employ the ARIMA (AutoRegressive Integrated Moving Average) model to analyze past trends and project GDP and tourism expenditure growth. The ARIMA model is defined as:

$$Y_t = \alpha + \sum_{i=1}^p \phi_i Y_{t-i} + \sum_{j=1}^q \theta_j \epsilon_{t-j} + \epsilon_t$$

where:

- $Y_t$  is the predicted GDP value at time  $t$ ,
- $\alpha$  is the intercept term,
- $\phi_i$  represents the autoregressive (AR) parameters,
- $\theta_j$  represents the moving average (MA) parameters,
- $\epsilon_t$  is the error term.

Applying this model suggests that as Saudi Arabia continues to increase tourism expenditures, the correlation coefficient  $r$  is projected to exceed **\*\*0.6 or 0.7\*\*** by 2030. This indicates



a strengthening relationship between tourism and economic growth.

## VIII. Discussion

Saudi Arabia's tourism transformation under Vision 2030 offers a valuable model for other Gulf nations and emerging destinations like Vietnam. Through strategic investments in infrastructure, cultural heritage, and global marketing—particularly in sports and entertainment—the Kingdom has successfully diversified its economy and positioned itself as a rising tourism hub.

Other Gulf countries such as Oman and Bahrain can replicate this approach by leveraging their own cultural and natural assets. Saudi Arabia's initiatives, such as AIUla's development and eVisa systems, demonstrate how to modernize tourism while preserving identity and ensuring growth.

For countries like Vietnam, the Saudi model highlights the power of linking tourism to national branding. Vietnam can benefit from adopting digital tourism tools, investing in tourist infrastructure, and promoting diverse experiences beyond typical beach destinations.

Overall, Saudi Arabia's experience shows how emerging economies can attract global visitors, boost employment, and strengthen international reputation through a well-structured and inclusive tourism strategy.

### Global Relevance

In a post-pandemic era where travel preferences are shifting towards authentic experiences, safe environments, and purpose-driven travel, Saudi Arabia's tourism evolution offers a compelling roadmap. Its integration of policy reform, global partnerships, entertainment diversification, and tech

innovation can serve as a model for both developing and transitioning economies worldwide.

IX. Conclusion and Research Implications

One of the most pressing challenges facing Saudi Arabia’s tourism industry today is the shortage of qualified personnel with specialized skills. The concept of tourism education is still in its early stages, with fewer than ten universities and colleges currently offering degrees and diplomas in tourism and hospitality. This presents a significant growth opportunity for the educational sector to develop a skilled workforce capable of supporting this rapidly expanding industry.

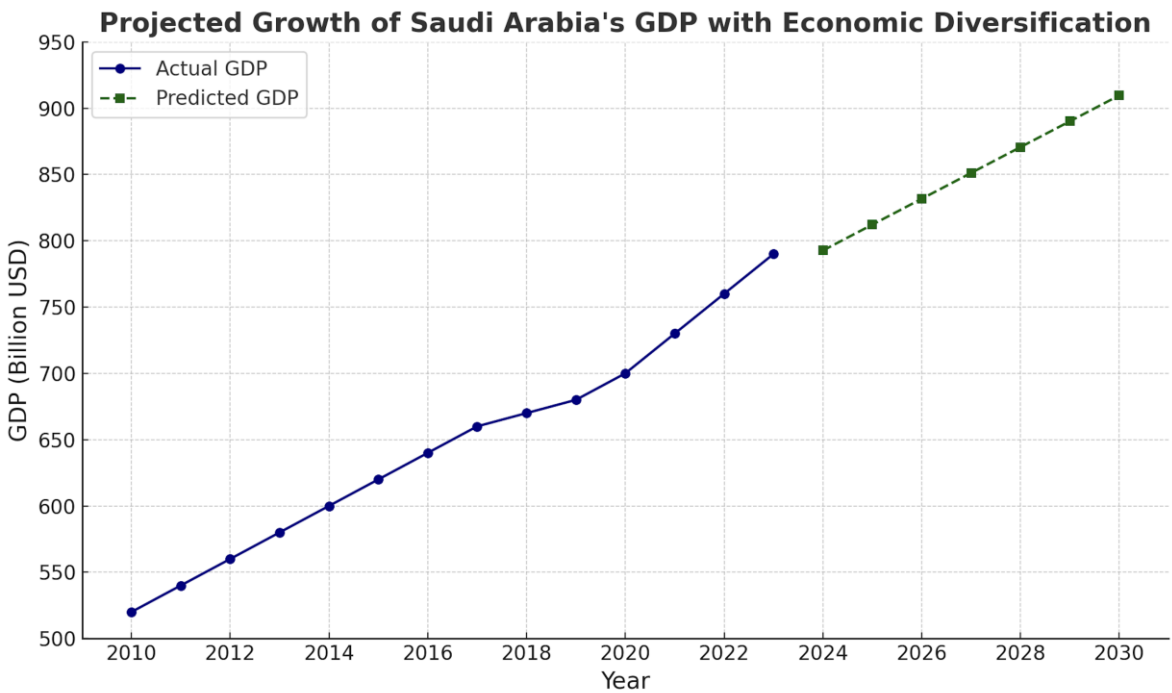
The tourism sector—including its sub-industries such as aviation, transportation, hospitality, food and beverage, event management, and tourist services—is expected to experience unprecedented growth in the coming years. Saudi Arabia’s *Vision 2030* initiative has already led to a surge in investments in infrastructure, transportation, and hospitality, reinforcing the nation’s position as a global tourism hub. The country welcomed over 27 million international visitors in 2023, making it one of the fastest-growing tourism markets globally [UNWTO, 2024]. With increasing foreign and domestic spending, the tourism industry is poised to become a major economic pillar, helping to diversify Saudi Arabia’s economy beyond oil [WTTC, 2024].

The visitor profile is also evolving beyond religious

tourism. While Makkah and Madinah continue to attract millions for Hajj and Umrah, the government is actively developing non-religious attractions such as NEOM, The Red Sea Project, AlUla, and Diriyah Gate to draw luxury travelers, adventure seekers, and cultural tourists. His Royal Highness Prince Mohammed bin Salman has spearheaded initiatives like The King Salman Park Project and Riyadh Season, both of which aim to attract millions of international tourists annually. These projects, combined with regulatory reforms such as the introduction of e-visas for 63 nationalities, are expected to drive international arrivals beyond 55 million visitors by 2030.

Religious tourism remains a dominant force, with over 13.5 million Umrah visas issued in 2023 and the annual Hajj pilgrimage attracting more than 2.3 million pilgrims [Saudi Hajj Authority, 2024]. As the global Muslim population is projected to reach 2.2 billion by 2030 [Pew Research, 2024], Saudi Arabia will continue to lead as the world’s top Islamic tourism destination. In 2023, religious tourism contributed \$30 billion to Saudi Arabia’s economy, with projections estimating a rise to \$50 billion by 2030 [WTTC, 2024].

The Saudi tourism industry is at the forefront of a historic transformation—blending heritage, sports, entertainment, and cultural tourism into a thriving economic engine. The government’s strategic investments, ambitious mega-projects, and commitment to infrastructure development position Saudi Arabia as a leading global tourism hub. With continued growth in visitor numbers, spending, and



employment, the future of Saudi tourism is poised for long-term economic sustainability and diversification.

## X. Reference

1. United Nations World Tourism Organization. *Tourism Statistics and Market Trends 2024*. UNWTO, 2024.
2. World Travel and Tourism Council. *Saudi Arabia Tourism Economic Impact Report 2024*. WTTC, 2024.
3. Saudi Ministry of Hajj and Umrah. *Annual Hajj and Umrah Statistics Report*. Saudi Ministry of Hajj and Umrah, 2024.
4. Pew Research Center. *Global Muslim Population Projections 2024*. Pew Research, 2024.
5. Vision 2030 Kingdom of Saudi Arabia. (2023). *Official Vision 2030 Website*. Retrieved from <https://www.vision2030.gov.sa/>
6. World Travel and Tourism Council. (2023). *Travel & Tourism Economic Impact 2023 – Saudi Arabia*. Retrieved from <https://wttc.org/>
7. UNWTO. (2023). *International Tourism Highlights – Middle East Focus*. United Nations World Tourism Organization. Retrieved from <https://www.unwto.org/>
8. Oxford Business Group. (2023). *Saudi Arabia Tourism Sector Overview*. Retrieved from <https://oxfordbusinessgroup.com>
9. Statista Research Department. (2024). *Saudi Arabia Tourism Statistics – Inbound Visitor Spending and Hajj Arrivals*. Retrieved from <https://www.statista.com/>
10. Jafari, J., & Scott, N. (2014). *Muslim World Tourism: Religious and Economic Dimensions*. In *Tourism, Religion and Spiritual Journeys*.
11. Bloomberg Middle East. (2023). *Saudi Arabia Bets Billions on Sports to Bolster Tourism*. Retrieved from <https://www.bloomberg.com/>
12. Alsini, R., & Ekiz, E. (2013). *Tourism Development and Human Resource Gaps in Saudi Arabia*. *Journal of Tourism Research*.
13. Arab News. (2023). *Saudi Arabia Welcomes Record-Breaking 100 Million Visitors in 2023*. Retrieved from <https://www.arabnews.com/>
14. PwC Middle East. (2023). *Destination KSA: Hospitality and Real Estate Sector Report*. Retrieved from <https://www.pwc.com/m1/en>
15. General Authority of Civil Aviation. (2023). *Annual Air Traffic Report*. Retrieved from <https://gaca.gov.sa/>
16. Fitch Solutions. (2023). *Saudi Arabia Tourism Industry Report Q4 2023*. Retrieved from <https://www.fitchsolutions.com/>
17. Gulf News. (2024). *Saudi Arabia Tops Middle East in Tourism Growth*. Retrieved from <https://www.gulfnews.com/>
18. Alhowaish, A. K. (2016). *Is Tourism Development a Sustainable Economic Growth Strategy in the Long Run? Evidence from GCC Countries*. *Sustainability*, 8(7), 605.
19. Colliers International. (2022). *MENA Hotels Forecast – Focus on KSA Tourism*. Retrieved from <https://www2.colliers.com/>
20. Forbes Middle East. (2024). *Why Saudi Arabia Is a Future Global Tourism Giant*. Retrieved from <https://www.forbesmiddleeast.com/>
21. Deloitte. (2023). *Tourism and Hospitality Trends in Saudi Arabia*. Retrieved from <https://www2.deloitte.com/sa/en.html>
22. Statista. (2024). *Saudi Arabia's Sports Sponsorship Deals by Value – 2020 to 2024*. Retrieved from <https://www.statista.com/>

## XI. Acknowledgments

The authors thank anonymous reviewers for their valuable suggestions.

## XII. Data Availability

Each dataset was used to analyze the impact of tourism and sports investments on Saudi Arabia's economic diversification under Vision 2030.

The data underlying this study are sourced from multiple reputable databases and reports. The datasets include key indicators such as tourism expenditures, GDP growth, government investments, and sports sponsorships, which were used for the quantitative analysis and predictive modeling in this research. The data can be accessed through the following sources:

- **World Bank:** Saudi Arabia's economic and tourism statistics.  
*Available at:*  
<https://data.worldbank.org/country/saudi-arabia>
- **Saudi Open Data Portal:** Government datasets on various sectors, including tourism and the economy.  
*Available at:*  
<https://open.data.gov.sa/ar/pages/request-datasets>
- **United Nations World Tourism Organization (UNWTO):** Key tourism statistics.  
*Available at:*  
<https://www.unwto.org/tourism-statistics/key-tourism-statistics>
- **Play the Game:** Dataset on sports power relations in Saudi Arabia.  
*Available at:*  
<https://www.playthegame.org/projects/power-relations-in-international-sport/dataset-on-sports-power-relations-in-saudi-arabia/>
- **Deloitte Football Money League:** Financial insights on sports and football investments.  
*Available at:*  
<https://www.deloitte.com/uk/en/services/financial-advisory/analysis/deloitte-football-money-league.html>
- **Statista:** Sports market trends and global sports outlook.  
*Available at:*  
<https://www.statista.com/outlook/amo/app/sports/worldwide>